

The Coca-Cola Company

A Tailored Approach

Expectations heading into the 2Q print serve as the new low end of KO's upwardly revised guide for +9-10% organic sales and +5-6% all-in EPS growth.

KO posted another quarter of robust organic sales growth, aided in part by high inflationary markets and certain shipment timing. Even adjusting for these considerations, +6% organic growth and the stability of the growth trajectory comfortably stands out amongst broader Staples. And yesterday's results put on full display the tailored approach KO takes to support momentum across its diverse footprint, with success in select markets once again helping to overcome challenges elsewhere and reinforcing what we view as a very sound "all-weather" strategy.

KO: Quarterly and Annual EPS (USD)

FY Dec	2023	2024			2025			Change y/y	
	Actual	Old	New	Cons	Old	New	Cons	2024	2025
Q1	0.68A	0.72A	0.72A	0.72A	0.74E	0.74E	0.76E	6%	3%
Q2	0.78A	0.80E	0.84A	0.81E	0.84E	0.89E	0.86E	8%	6%
Q3	0.74A	0.76E	0.74E	0.76E	0.81E	0.79E	0.82E	0%	7%
Q4	0.49A	0.55E	0.54E	0.54E	0.60E	0.59E	0.58E	10%	9%
Year	2.69A	2.82E	2.84E	2.82E	2.99E	3.01E	3.01E	6%	6%
P/E	24.2		22.9			21.6			

Consensus numbers are from Bloomberg received on 23-Jul-2024; 12:50 GMT
Source: Barclays Research

CORE

KO	OVERWEIGHT Unchanged
U.S. CHPC & Beverages	NEUTRAL Unchanged
Price Target	USD 70.00 raised 1% from USD 69.00
Price (23-Jul-24)	USD 64.96
Potential Upside/Downside	+7.8%

Market Cap (USD mn)	279844
Shares Outstanding (mn)	4307.96
Free Float (%)	89.71
52 Wk Avg Daily Volume (mn)	13.4
Dividend Yield (%)	2.99
Return on Equity TTM (%)	41.06
Current BVPS (USD)	6.00
Source: Bloomberg	

Price Performance	Exchange-NYSE
52 Week range	USD 66.04-51.55



Source: IDC
[Link to Barclays Live for interactive charting](#)

U.S. CHPC & Beverages

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U.S. CHPC & Beverages

NEUTRAL

The Coca-Cola Company (KO)

OVERWEIGHT

Income statement (\$mn)	2023A	2024E	2025E	2026E	CAGR
Revenue	45,784	45,823	48,158	50,931	3.6%
EBITDA (adj)	14,464	14,950	16,016	17,192	5.9%
EBIT (adj)	13,336	13,850	14,860	15,970	6.2%
Pre-tax income (adj)	14,403	15,152	16,240	17,506	6.7%
Net income (adj)	11,660	12,265	12,985	13,998	6.3%
EPS (adj) (\$)	2.69	2.84	3.01	3.24	6.4%
Diluted shares (mn)	4,338.8	4,319.8	4,319.0	4,319.0	-0.2%
DPS (\$)	1.84	1.94	2.02	2.10	4.5%
Margin and return data	2023A	2024E	2025E	2026E	Average
Gross margin (%)	59.7	61.2	61.6	61.9	61.1
EBITDA (adj) margin (%)	31.6	32.6	33.3	33.8	32.8
EBIT (adj) margin (%)	29.1	30.2	30.9	31.4	30.4
Pre-tax (adj) margin (%)	31.5	33.1	33.7	34.4	33.2
Net (adj) margin (%)	25.5	26.8	27.0	27.5	26.7
ROIC (%)	22.8	25.8	23.6	24.5	24.2
ROA (%)	11.1	11.8	11.9	12.1	11.7
ROE (%)	42.4	54.8	48.5	43.9	47.4
Balance sheet and cash flow (\$mn)	2023A	2024E	2025E	2026E	CAGR
Cash and equivalents	9,366	11,404	8,578	11,841	8.1%
Total assets	97,703	95,314	100,172	105,939	2.7%
Short and long-term debt	42,064	45,564	45,564	45,564	2.7%
Total liabilities	70,223	72,924	73,375	74,019	1.8%
Net debt/(funds)	29,701	31,163	33,989	30,726	1.1%
Shareholders' equity	27,480	22,390	26,796	31,919	5.1%
Change in working capital	-846	-948	-127	-197	N/A
Cash flow from operations	11,599	11,518	13,107	14,521	7.8%
Capital expenditure	-1,852	-2,222	-2,071	-2,190	N/A
Free cash flow	9,747	9,296	11,036	12,331	8.2%
Valuation and leverage metrics	2023A	2024E	2025E	2026E	Average
P/E (adj) (x)	24.2	22.9	21.6	20.0	22.2
EV/sales (x)	6.3	6.4	6.1	5.7	6.1
EV/EBITDA (adj) (x)	20.1	19.5	18.4	17.0	18.8
EV/EBIT (adj) (x)	21.8	21.1	19.8	18.3	20.2
Equity FCF yield (%)	3.5	3.3	3.9	4.4	3.8
P/BV (x)	10.3	12.5	10.5	8.8	10.5
Dividend yield (%)	2.8	3.0	3.1	3.2	3.0
Total debt/capital (%)	60.5	67.1	63.0	58.8	62.3
Net debt/EBITDA (adj) (x)	2.1	2.1	2.1	1.8	2.0
Selected operating metrics	2023A	2024E	2025E	2026E	Average
Organic sales growth (%)	12.0	10.1	6.4	5.8	8.6
Volume growth (%)	2.0	1.7	4.1	3.6	2.8
Price growth (%)	10.0	8.5	2.3	2.2	5.7

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (23-Jul-2024) **USD 64.96**
 Price Target **USD 70.00**

Why OVERWEIGHT?

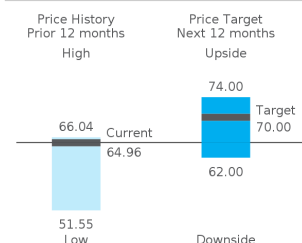
We expect KO's comprehensive transformation to re-accelerate the top and bottom line. As the company demonstrates an ability to sustainably deliver its algorithm, we expect more valuation credit to be given.

Upside case USD 74.00

Our upside case assumes that KO trades at a +30% premium to Large-Cap Staples on upside 2025 EPS of \$3.07.

Downside case USD 62.00

Our downside case assumes that KO trades at a 12.5% to Large-Cap Staples on downside 2025 EPS of \$2.95.

Upside/Downside scenarios

A Tailored Approach

What to do with the stock: Parsing through KO's 2Q print to look at the underlying business, we see a strong topline and margin progression culminating in 1) yet another quarter of underlying OSG growth at the high end of the long term algorithm and 2) all-in EPS growth in +HSD territory despite a 10-point headwind from currency. We think KO's ability to again beat estimates and raise FY24 comparable EPS growth by 1-point to +5-6% (inclusive of a ~8-9% FX headwind) thanks to this 1H outperformance will prove somewhat unique this earnings season. And importantly, we believe the relative visibility into this outlook amongst broader Staples screens attractive and reiterate our Overweight rating.

The 2Q print showcased KO's versatile playbook for growth that tailors the approach on a market-by-market basis... We've long discussed KO as boasting a defensive, topline-led algorithm, so the company's appetite for (and commitment behind) growth across its footprint should come as no surprise. But perhaps most interesting to us in this vein was the discussion of China, where it has become increasingly clear that KO is seeing the weaker macro backdrop as creating space to strategically reset the business. To be sure, CEO James Quincey had discussed taking a proactive tact in China several quarters ago.

“I hate the idea of just waiting for something to happen macroeconomically. Certainly, it helps when there is a tailwind from the general environment, but we're not going to wait for that. We are very focused on investing to try and capitalize on the opportunities and restore momentum, particularly on the sparkling business. And there is a lot of RGM and execution opportunities for us to go and tackle in China.”

— KO CEO James Quincey (3Q23 earnings conference call)

But yesterday gave us as a more robust discussion of the tangible changes KO is implementing to reposition itself for stronger growth in China (irrespective of the macro environment). This begins with re-focusing more directly on categories with attractive growth and profit profiles (sparkling, tea, juice) and de-emphasizing others (bulk water). The latter served as a meaningful headwind on the overall business, with total China volumes declining in 2Q despite positive sparkling volume growth during the quarter. That said, there is still work to be done even on the sparkling side, particularly within flavors. Overall, following the leadership change last year in China, it feels to us like there's a clearer vision on the path forward and now it's really a matter of improving execution on those plans (e.g. thoughtful innovation, adding more coolers, extending reach in rural regions).

Meanwhile, KO already has solid momentum in Latin America, especially Brazil and Mexico – and we can't help but view the strong volume growth in these markets (unaccompanied by share gains during the quarter) as emblematic of KO fulfilling its duty as category leader to focus on driving total category growth. Of note, Coke Zero Sugar volumes grew an impressive 20+%, although the region's growth remains broad-based. The KO System has been very targeted in going after immediate consumption opportunities (+80k coolers YTD in Mexico alone), but beyond the traditional execution, bottlers are also highly active in their efforts to digitize customer relationships. We expect the System will continue to invest heavily behind

marketing and innovation to sustain this strong growth but would caution that, closer-in, 3Q24 faces a tougher UCV comp from the prior year. Looking ahead, we'll be monitoring for color on sparkling in particular, where we understand smaller local players are becoming increasingly competitive.

To be sure, KO's efforts to ensure it provides the right affordability offerings was a common refrain for its entire footprint but with particular emphasis yesterday on North America's AFH channel. As we've heard from several Staples companies, lower income consumer are increasingly value-conscious, and this is manifesting both in at-home and AFH channels. While price pack architecture has been a heavily utilized tool for some time now to protect affordability at retail stores, more recently, KO has collaborated on meal deal combos with some of its customers to support AFH traffic and beverage incidence in those outlets. Interestingly, this discussion was coupled with the fact that premium-positioned Fairlife was the largest driver of at-home channel retail sales growth during the quarter – highlighting to us the polarized state of the US consumer. With this in mind, we firmly believe KO has the right tools & strategies in place to cater to both ends of the spectrum.

...but yesterday's discussion also featured much more pointed language around the challenges in Western Europe. Mr. Quincey stated plainly that Europe “was overall not where we'd like to be”. KO has several strategic activations around high profile sporting and music events this summer, but these generally haven't been enough to offset the pressured lower income consumer and/or unfavorable weather conditions so far. Similar to the US, the constrained low income consumer is weighing on AFH traffic trends in Europe (more pronounced in the west vs. east). KO's plans to address the more challenged demand backdrop include focusing on areas with relatively better momentum (Fuze, Powerade) and also sparkling innovations such as Coke Lemon and the reformulated Sprite.

Understandably, we received a lot of inbound yesterday on the read-throughs to CCEP, with KO's 2Q print seemingly affirming the growing caution towards CCEP's Western European footprint we've sensed from investors on the heels of soft scanner data. For our part, we currently model flat Europe volumes in 2Q, and Bloomberg Consensus is at -0.3%. The 1H Vuma estimate implies closer to +1% growth for Europe in 2Q, but we suspect this number could be somewhat stale. All told, we believe there could be some room to the downside on Europe volume estimates this quarter – but at the same time, KO called out Philippines on several occasions yesterday for its +DD growth and strong value share gains. As such, we'd think this could potentially serve as a source of offsetting upside at CCEP's 1H print in early August.

Changes to the model. We now look for FY24 organic sales growth of +10.1% (from +9.1%), reflecting the high end of KO's revised guide. The upside vs. our prior model stems fully from price/mix (now +8.5%), while full-year concentrate shipments is mostly unchanged at +1.7% (albeit with revised quarterly cadence). More specifically, we now look for concentrate sales to be flat in 3Q (from ~+2%), reflecting the unwind of an estimated 2-points of shipment timing that was pulled forward from 3Q. From a division perspective, we raised our Latin America, EMEA, North America and BIG OSG – each now assuming higher price/mix for the year and Latin America and BIG also now having embedded better concentrate shipments. Meanwhile, we softened our APAC and Global Ventures OSG for the year, driven primarily by softer price/mix. Inclusive a -5.2% FX headwind and a -5.0% structural drag to FY24 results (both ~30 bps worse than our prior model), we estimate net sales growth of +0.1%. We model gross margins up +155 bps, led by an estimated +120 bps structural benefit of refranchising (namely Philippines) and underlying margin expansion of +75 bps, partially offset by a ~40 bps drag from currency. From a quarterly perspective, we expect a similar refranchising benefit to in 3Q as 2Q before tempering in 4Q given Philippines faces a tougher comp that quarter. We look for SG&A at 14.4% of sales while our advertising and bottling & distribution forecasts are at 10.7% and 5.8% of

sales, respectively, translating to a 30.2% operating margin (+110 bps YoY). This estimate reflects generally balanced contributions from underlying margin expansion and the structural tailwinds (both ~85 bps), offset by a ~65 bps drag from currency. All-in, we raise our FY24 EPS estimate by 2c to \$2.84 that reflects +5.7% growth YoY (vs. the company's +5-6% comparable EPS range).

We are raising our PT to \$70. Our valuation methodology assumes a +25% premium to Large-Cap Staples peers or ~23.1x multiple on a P/E basis on our 2025 EPS estimate of \$3.01. Our prior price target of \$69 assumed a +25% premium to Large-Cap Staples peers or ~23.2x multiple on a P/E basis on our CY25 EPS estimate of \$2.99.

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The Coca-Cola Company (KO, 23-Jul-2024, USD 64.96), Overweight/Neutral, A/CD/CE/D/E/J/K/L/M/N

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U.S. CHPC & Beverages

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Constellation Brands (STZ)	Coty Inc. (COTY)	Duckhorn Portfolio Inc (NAPA)
Edgewell Personal Care Company (EPC)	Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)

Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
PepsiCo Inc. (PEP)	Procter & Gamble (PG)	Reynolds Consumer Products (REYN)
The Coca-Cola Company (KO)	The Estée Lauder Companies (EL)	

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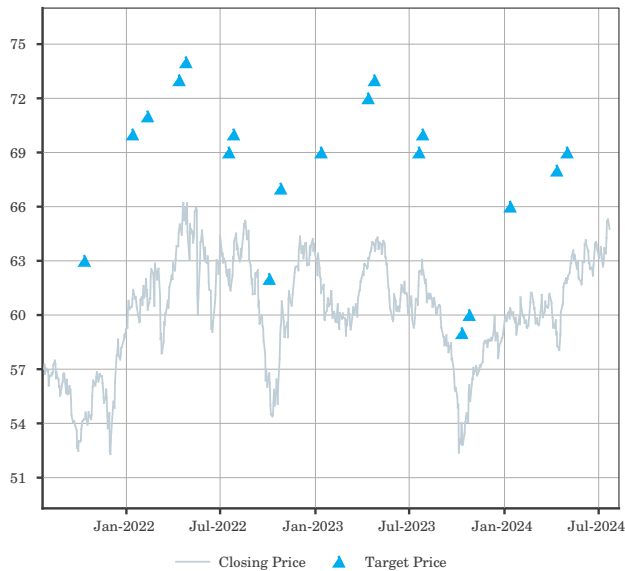
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 64.96** (23-Jul-2024)

Rating and Price Target Chart - USD (as of 23-Jul-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
01-May-2024	61.77		69.00
11-Apr-2024	59.72		68.00
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00
11-Feb-2022	61.38		71.00
13-Jan-2022	60.90		70.00
12-Oct-2021	54.23		63.00

On 23-Jul-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 65.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our price target of \$70 is based on a ~23.1x P/E reflecting a +25% premium to Large-Cap Staples peers on our CY25 EPS estimate of \$3.01.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) FX headwinds force downward revision of estimates, 2) Slowdown in CSD category growth, 3) More sugar taxes cloud the dialogue, 4) Deterioration in North American pricing environment would hurt results

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